Management of YourOrg

Introduction:

In this assignment, the essential principles of management for Unilever PLC will be explored. Unilever PLC is a global company that sells food, beverages, cleaning agents and personal care products and its operations span in over 190 countries. Some of the famous brands Unilever sells include Knorr, Lipton, and Dove. The assignment's goal is to demonstrate how key management principles are applied in the real world by looking at management skills, organizational characteristics, strategic planning, resource management, teamwork, and leadership in a structured way.

Task 1:

According to Robert L.Katz, “the three–skill approach includes technical, human, and conceptual skills. Leaders in various levels of leadership, including top management, middle and supervisory management, are supposed to possess all three skills to prosper in all their managerial work.” (scholars.direct, The Three- Skill Approach to Leadership November 05, 2021)

Katz’s three-skill approach is a theory that highlights the three essential skills that a manager/leader is required to have in order to become successful. The three skills are technical, human, and conceptual.

Technical skills are unique knowledge and abilities needed to carry out particular activities. These abilities, which are also known as business execution skills, include proficiency with computers, proficiency in languages and bookkeeping, product knowledge, and the capacity to make service proposals. Technical talents are typically more applicable to the workplace than the other two.

Human abilities are referred to as interpersonal abilities. In addition to superiors and subordinates, it symbolizes the capacity to establish positive relationships with customers, consumers, and all other stakeholders in the workplace. It includes abilities like active listening, communication, presentation, and leadership.

The ability to understand the bottom line and make wise decisions is known as conceptual skill. One definition of it is being able to identify practical solutions by

objectively analyzing every situation that requires attention, such as issues with organizational operations and shifts in the market.

(learningbox.online, November 17, 2022)

It is considered important to have the three skills built in a manager/leader as it enables the manager to handle complex tasks by logically thinking about possible solutions, leading team by establishing ways to communicate with workers to gain their trust and motivate them, and achieving the organisational goals by maximizing the use of available resources.

> For example, (locusassignments.com , human resources management: a case study of unilever) explains the managerial functions within Unilever: "Managerial functions include planning, organisation, directing, and controlling. It is the responsibilities of the HRM to identify the number of employees needed in the company to achieve the desired goals. Similarly, it is the duty of the HRM of Unilever to analyse the current situation and the need of the future human resources in the organisation. Then he or she organise, direct and control the other employee-related activities in the firm (Beletskiy et al., 2020)."

The study explained the managers behavior in Unilever and how they analyse the situations to identify their needs. Which concludes that problem solving and logically thinking about potential practices to achieve organizational goals is part of Unilever management staff.

Organizations in general tend to follow a particular organizational structure : “An organizational structure defines how work gets delegated throughout an organization. A traditional organizational structure follows a system in which power flows upward through the organization, and all employees follow a chain of command.” while a modern organizational structure “does not have a hierarchical, top-down power arrangement. Also referred to as a contemporary organizational structure, it removes the departmental boundaries between employees and has them work on projects together in pursuit of the business’s goals” (indeed.com , march 4, 2025).

> According to (scribd.com, Unilever's Organizational Culture of Performance), Considering the size and scope of the organisation it is understandable that they must operate within a defined framework, and as noted by Cummings and Worley (2005:136-138) the sheer size of the company can expose them to the risk of paralysis and stagnation as they are too large to respond flexibly to external challenges. Therefore Unilever have explicitly set out to create a management structure, which is capable of making faster decisions and responding more flexibly to external stimulus.

> Accordingly Unilever has created a four-tier hierarchical structure, which helps to funnel information into the business, and allows the senior team to make appropriate decisions based on available data (Unilever, 2010b). According to Unilever, they believe that this structure gives them suitable balance between corporate governance and organisational flexibility.

The study has examined the structure that Unilever has adopted. Therefore, Unilever appears to follow a hybrid structure that combines both traditional and modern structure of organization. Ensuring centralised decisions and achieving modern flexibility throughout faster decision making.

Task 2:

According to cipd.org , A SWOT analysis is a planning tool which seeks to identify the Strengths, Weaknesses, Opportunities and Threats involved in a project or organisation. It's a framework for matching an organisation's goals, programmes and capacities to the environment in which it operates.

In terms of Unilever, a SWOT analysis will be made to find out the organisation's Strengths, Weaknesses, Opportunities and Threats.

Strengths:

1- The business operates in more than 190 countries, providing it a significant global presence. Because of this, Unilever is able to take advantage of economies of scale, the global supply chain, and accessibility to a wide range of consumers. Additionally, the brand's worldwide reach enables the company to adjust to different cultural and legal contexts, which is essential in the strictly controlled consumer products industry.

2- Among its many powerful brands are Dove, Lipton, and Knorr, which are well-known and dependable to consumers all over the world. Similarly, the brand portfolio is wide, spanning goods from several sectors such as food, personal care, home care, and beauty. Through diversification, the company can reduce the risks that come with becoming excessively dependent on one product line or category. Over €1 billion is made by the top 13 brands. Dove, Brooke Bond, Close Up, Knorr and Lifebuoy, and Lipton are responsible for more than half of Unilever's growth.

Weaknesses:

1- Although the company's large and extensive product selection attracts a wide range of customers from various socioeconomic backgrounds, there are many low cost alternatives on the market. As a result, keeping customers loyal is difficult and expensive. requiring significant marketing and promotion expenses. This is particularly challenging in places like Asia and Africa that have affordable labor and raw materials.

2- The retailer's performance has a significant impact on the brand's performance and reputation. Unilever sells its products all over the world through a network of more than 25 million shops.Nonetheless, the merchants have considerable control over sales due to a lack of forward integration capabilities. Private label brands have been formed by certain large brand merchants to compete with Unilever items.

Opportunities:

1- China, India, and Brazil are among the new markets where Unilever can gain the most. The business can take advantage of their large population. Additionally, Unilever can profit from economic benefits in these markets, such as easier access to raw materials and less labor expenses.

2- Unilever can profit from consumers' growing interest in wellness and health. In addition to investigating prospects in the rapidly expanding functional food and beverage market, they use natural, organic, and artificial free ingredients.

Threats:

1- There is intense rivalry in the fast paced consumer products sector. Higher operating costs for Unilever are a result of intense competition.

Procter & Gamble, Mondelez International, and Colgate Palmolive are some of the main rivals that have a big impact on pricing tactics, market share, and profitability. Unilever should keep spending money on branding, marketing, and product development in order to stay competitive.

2- Uncertainty and economic instability are common in the global economy in which Unilever operates. For example, Unilever has not yet fully recovered from the Covid-19 pandemic. Pricing, supply chain operations, and customer demand were all significantly impacted by this. To minimize these risks, Unilever must create plans that include supply chain resilience investments, cost control, and revenue stream diversification.

(strategicmanagementinsight.com , March 4,2025)

After conducting the SWOT Analysis to Unilever, major challenge was identified:

1- The intensive rivalry between competitors such as Procter & Gamble, Mondelez International, and Colgate Palmolive could increase the operating costs as consumers tend to find cheaper alternatives.

> For example, according to linkedin.com , (Hanif Ajari :Director Export Network, Inst. Business & CS at Getz Pharma) speaks about the rivalry between P&G and Unilever and the highest revenue achieved by both :P&G's YoY revenue growth of 2.48% starkly contrasts with Unilever's -0.78% decline, showcasing resilience and market expansion. In EBITDA to revenue, **P&G (25.51%) outshines Unilever (19.02%), reinforcing its profitability edge. While Unilever may dominate inventory and cash flow efficiency, P&G stands as the stronger contender in overall financial health and performance.**

However, to address this challenge, Unilever could use strategic goal setting.

According to (mooncamp.com , jan 23, 2025) , "Strategic goal setting defines long-term, measurable objectives aligned with a company's vision to guide strategy. Companies set these goals to provide direction, align teams, improve decisions, and track progress."

The main purpose of goal setting is to define, measure, plan, and achieve the goal. In terms of Unilever, a SMART goal setting framework will be used.

According to (productplan.com), “The SMART framework provides the framework for setting clear, attainable goals in project management. The acronym stands for Specific, Measurable, Attainable, Relevant, and Time-bound.”

1- Specific: Unilever could maintain the customer trust in brands such as dove or knorr to reduce the prices issues

2- Measurable: achieve an increase after maintaining the customer trust in key brands like dove and knorr after setting a specific time to achieve that.

3- Attainable: make good use of the organisation’s portfolio and marketing expertise.

4- Relevant : the process aligns with the organization’s goal

5- Time-bound: the goal should be implemented within a particular time aligned by the company.

Another recommended action that could be taken in mind is to develop a unique product to differ from the rivals.

Task 3:

One of the key aspects of management is that the manager should have the ability to maximize the available resources like, material, staff, equipment and money. Having the best out of available resources requires techniques such as forecasting and budgeting.

> According to ibm.com , Budgeting details how the plan will be carried out month to month and covers items such as revenue, expenses, potential cash flow and debt reduction. Traditionally, a company will designate a fiscal year and create a budget for the year. It may adjust the budget depending on actual revenues or compare actual financial statements to determine how close they are to meeting or exceeding the budget. [While] Forecasting takes historical data and current market conditions and then makes predictions as to how much revenue an organization can expect to bring in over the next few months or years. Forecasts are usually adjusted as new information becomes available.

Budgeting and forecasting techniques help the managers to make a good use of available resources as the manager can be able to consist the available budget for production and avoid overspending.

In terms of Unilever, “Unilever initiated ZBB to improve brand and marketing investment productivity across the entire company, aiming to save approximately €1 billion per year by 2018.[The Company] Incorporated zero-based budgeting as part of cost-reduction measures, particularly focusing on brand and marketing investments.” (farseer.com)

This study explains Unilever' vision in terms of budgeting. Throughout the years, the company has adopted (zero based budgeting) as part of reducing costs. The zero-based budgeting (ZBB) approach requires that every spending be justified for every new time frame. (investopedia.com, june 08, 2024)

On the other hand, Using forecasting technique also plays an important role in predicting the future demand by studying the market and relying on the historical data of each product.

> According to insights.tispayments.com , Unilever has been able to standardize many of their disparate processes in order to obtain quality data for their cash forecast from a range of different sources and global entities. As a result, they can now benefit from near-real-time analysis on payments, invoicing, and vendor behavior and trends within their cash operations. TIS' efficient workflow management, flexible and layered cash forecasting models across various scenarios and horizons, and diverse drill-down functionalities cover the whole spectrum needed by Unilever to quickly gain insights and create robust and reliable forecasts.

Therefore, the company has witnessed an outstanding forecasting accuracy: "Forecast accuracy has improved from 50% to 80% in most categories at the three month time horizon with forecast variance for some categories now measured at less than 10% looking out at the one month horizon."

(insights.tispayments.com)

While techniques such as budgeting and forecasting helps in avoiding overspending and increasing the overall revenue by maximizing the resources available. Accurate information plays a key role in effective decision making.

Accurate information helps the managers to make wise decisions and avoid mistakes that could cost money. inaccurate information could cost overspending. For example, while allocating budgets, accurate budgeting information shows how much is spent and how much is supposed to be spent, helping the managers to assign the required budget to avoid overspending. Accurate information can also help the organization in forecasting, for example, predicting future demands requires deeper market studying depending on the historical data about products. Accurate info helps setting strategies tailored to each product to increase revenues.

Task 4:

Mike Woodcock's building blocks theory sets out the essential elements to creating an effective team.

This section will cover five building blocks:

1- Clear objectives and agreed goals:

The team must know what it wants to accomplish in order to concentrate on a clear path forward. When the team participates in this decision making process, the outcome will be even better. The team and its members typically adopt a results oriented mindset after the priorities are decided upon, and whatever job they do can then be connected to this. This usually serves as a foundational element that inspires and concentrates the group.

2- Openness and confrontation:

Members of a team with a positive group dynamic are willing to share their thoughts and feelings with one another. Recognizing that team differences are best expressed and recognized, even if they are not always resolvable, is a group norm. Members of the team do not harbor resentment or suspicion of one another's intentions. The 'no-blame' culture results from the fact that people are not punished for their thoughts or feelings.

3- Support and Trust:

In contrast to a team that deals with conflict and openness, members of the team actively seek out opportunities to support one another and are willing to take

responsibility for their errors since they know they will not be used against them. They are able to both accept and offer assistance, and they are aware of each other's morals and good intentions. The team has a culture where "someone will always help if I am stuck."

4- Working effectively with co-operation and conflict:

Teams frequently avoid discussing how to operate with both cooperation and conflict, yet research indicates that the best performing teams are highly skilled at managing this circumstance. The group closely monitors its internal communications and makes a careful distinction between using argumentation as an offensive tactic and using problem solving techniques when there are conflicting opinions. Instead of being fought over, differences are examined.

5- Sound working and decision making procedures:

Teams are frequently asked to make choices as a group or at least participate in them in the contemporary organizational culture. This is especially true for teams that are self managed.

Having the best procedure or decision making process in place is the focus of this building block. "Are the processes used the most appropriate ones for this team at this time over this issue?" is the question that needs to be asked in this situation. (oakwoodlearning.com , Team Development Manual by Mike Woodcock, Published by Gower Publishing).

For example, Unilever employees are always supported and guaranteed their well being: “Our approach involves providing comprehensive support and resources through the Team Energy Assessment, which allows teams to evaluate their energy levels across physical, emotional, mental, and purposeful dimensions of wellbeing.” (unilever.com)

Companies like Unilever are in endless competition against rivalries. They also face challenges like changing consumer preferences. Therefore, a strong leadership is required, and leaders must guide their teams to overcome such challenges. For Unilever, leadership is an important key to success: ”Our international leadership team drives our company, guides our strategy and leads our people.” (unilever.com)

There are several leadership styles that companies tend to follow such as transformational, situational , and many more.

> A leadership style refers to a leader’s methods, characteristics, and behaviors when directing, motivating, and managing their teams. A leader’s style is shaped by a variety of factors, including personality, values, skills, and experiences, and can have a significant impact on the effectiveness of their leadership. (imd.org, May, 2025)

This section will focus on the situational leadership style.

> The Situational Leadership Model® is a flexible framework that enables leaders to tailor their approach to the needs of their team or individual members. Developed by Paul Hersey in 1969, this model provides a repeatable process for matching leadership behaviors to the performance needs of those being influenced. (situational.com)

There are types of situational leadership

1- telling:

When a team or team member needs constant monitoring and direction, telling, or directing, can be helpful. By displaying high directing behavior and low supporting behavior for the work at hand, the team leader makes decisions and guides the group or individuals. This can involve giving new team members instructions or assuming leadership in an emergency.

2- selling:

When a team or team member is willing to do a task but is unable to do it, selling or persuading them is helpful. To increase team or member participation, the leader facilitates two way communication and celebrates minor victories. This type of leadership may aid in the skill development or improvement of team members. Additionally, this approach can promote support for a more wider vision.

3- Participating:

When a team or team member has the skills necessary to do the task but lacks confidence or is unwilling, sharing, or participating, can be helpful. By allowing their workers to contribute in their areas of competence and encouraging collaboration to boost confidence, leaders embrace a more democratic leadership style. (betterup.com, july 15, 2022). This style of leadership best suits Unilever because they choose the kind of leadership based on the employee and tasks needs.

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